

Unit 3 – Section 3: Decision-Making Techniques

Mixed Topic Practice Questions

4-Mark Questions

1. Define sales forecasting.
2. Calculate the payback period for a given project using annual cash inflows.
3. Define expected monetary value (EMV) in a decision tree.
4. Explain what is meant by a critical path.
5. Define contribution per unit.
6. Explain one benefit of using quantitative sales forecasting.
7. Explain one limitation of using CPA in business decision-making.

8-Mark Assess Questions

8. Assess the usefulness of moving averages as a method of sales forecasting.
9. Assess whether investment appraisal is always necessary for small business projects.
10. Assess the value of decision trees for reducing business risk.
11. Assess the usefulness of CPA for improving operational efficiency.
12. Assess how contribution analysis supports short-term decision-making.
13. Assess whether sales forecasting or decision trees provide more reliable business predictions.

12-Mark Discuss Questions

14. Discuss whether NPV is a more accurate investment appraisal method than ARR.
15. Discuss whether quantitative sales forecasting is always better than intuition when predicting business performance.
16. Discuss whether decision trees can replace managerial experience in complex decisions.
17. Discuss whether CPA is a practical tool for small and medium-sized enterprises.
18. Discuss the extent to which contribution analysis influences pricing and output decisions.

20-Mark Evaluate Questions

19. Evaluate whether quantitative decision-making techniques (e.g., NPV, CPA, Decision Trees) improve overall business success.
20. Evaluate the extent to which the reliability of sales forecasts determines strategic success.
21. Evaluate whether investment appraisal provides certainty or merely an illusion of accuracy.
22. Evaluate whether decision-making tools are more useful for planning or control.

23. Evaluate whether businesses rely too heavily on quantitative data when making investment decisions.

Student Reflection & Self-Review

After completing each question:

- Identify the model or technique used (e.g., ARR, EMV, CPA, NPV).
- Check that all calculations are accurate and labelled clearly.
- Include evaluation language (“depends on”, “long-term vs short-term”, “risk vs reward”).
- Write a final one-sentence judgement for every 12- or 20-mark response.